Chapter 5. The Defensive Investor and Common Stocks

1. Wilfred Funk, Inc., 1953.
2. In current mathematical approaches to investment decisions, it has become standard practice to define "risk" in terms of average price variations or "volatility." See, for example, by Richard A. Brealey, The M.I.T. Press, 1969. We find this use of the word "risk" more harmful than useful for sound investment decisions—because it places too much emphasis on market fluctuations.
3. All 30 companies in the DJIA met this standard in 1971.